Talwar returned to his office to find the Chief of Personnel waiting for him who told him that the President of the staff union had drafted a letter which he would address to Talwar to end the stalemate. In the letter the staff union appealed to Talwar to accede to the demands of the Bank of Behar staff union. The staff union knew that Talwar would not bend, and rather than risk losing an outstanding Chairman, intervened to break the deadlock.

Talwar showed the letter to the RBI Governor and informed him that the impasse had ended. The latter remarked that he found it amusing that Talwar listened to his staff union President but refused to carry out the instructions of the Finance Minister. The next day Talwar met Chavan who told him that when he gave a signal, his bidding must be done. Talwar in reply asked to be excused for his impertinence and said that such signals should never be given. He then showed Chavan the letter, and the Finance Minister remarked that it was a statesman like act. Talwar says that he never received any signals from the Finance Minister again.

Talwar faced another strike, this time an officers' strike in 1969, soon after becoming the Chairman. The genesis of this strike lay in the dissatisfaction of the supervisory officers with their pay scales. Talwar, when he was Secretary and Treasurer of the Bombay Circle, had been part of a three-member group headed by the Managing Director to look into this issue. Talwar's own views were somewhat sympathetic to the officers but the Chairman was not predisposed to entertain any demands for a pay hike. When he became the Managing Director, Talwar raised this issue again with the Chairman but was rudely rebuked. It was therefore ironic that within three months of his taking over as the Chairman in March 1969, Talwar had to face the music over an issue towards which he had always been sympathetic.

In order to force the pace for pay revision, the Officers' Association gave a call for a go-slow at the Bombay LHO. Work suffered and the public were greatly inconvenienced. Four junior officers who had refused to obey the orders of the management on the plea that they were following the orders of the Association were placed under suspension. The office bearers of the Association came to Talwar protesting against the highhanded action of the management and threatened to strike if the suspended officers were not taken back on duty. But they were threatening the wrong man. Talwar did not budge. He informed the Finance Minister, Morarji Desai, and sought his